APPRAISAL REPORT

Cedar Grove Marketplace | Effective Date: March 31, 2025

Prepared for TriState Capital Bank
Prepared by Meridian Valuation Partners, LLC
Report Date: April 18, 2025

FINAL VALUE CONCLUSION

Interest	As-Is Market Value	Effective Date
Leased Fee	$20,400,000	March 31, 2025

This appraisal reflects information available as of March 31, 2025. Subsequent leasing, amendments, occupancy changes and operating results are outside the effective date unless expressly stated.

1. Executive Summary

Property Characteristic	Appraiser Conclusion
Property	Cedar Grove Marketplace
Type	Grocery-anchored neighborhood shopping center
GLA	96,400 SF
Year Built / Renovated	2008 / 2019
Occupancy Used	95.0% stabilized
Anchor	FreshMart Market - 34,000 SF
Anchor Expiration Reviewed	12/31/2033
Stabilized NOI	$1,836,000
Cap Rate	9.00%
As-Is Value	$20,400,000

The assignment develops an opinion of leased-fee market value. The appraiser reviewed historical operations, a March 2025 rent roll, selected lease information, market leasing data and comparable sales. The income capitalization and sales comparison approaches were developed. The cost approach was considered but not relied upon.

2. Property Description

Component	Description
Site	Fictitious suburban Dallas/Fort Worth commercial parcel
Improvements	Single-story retail; masonry/stucco; surface parking
Condition	Average to good following 2019 renovation
Zoning	Assumed conforming retail
Highest and Best Use	Continued neighborhood shopping-center use

The March 2025 materials indicated occupancy of approximately 95%. FreshMart Market occupies 34,000 square feet and is the largest tenant. The appraiser treated the anchor as having a stated expiration of December 31, 2033. No early termination option was reflected in the lease summary supplied to the appraiser.

3. Market Analysis

Metric	Appraiser Assumption
Stabilized occupancy	95%
Inline market rent	$28-$38/SF NNN
Small-shop premium rent	Up to approximately $38/SF
Anchor rent range	Approximately $17-$21/SF
Typical shop rent growth	2%-3%
Comparable cap-rate range	8.5%-9.5%

Demand is supported by daily-needs retail, service and food uses. Investor underwriting remains sensitive to interest rates, tenant rollover, anchor strength, leasing costs and expense recoveries.

4. Selected Rent Roll Analysis

Tenant	SF	Rent/SF	Stated Expiration
FreshMart Market	34,000	$18.50	12/31/2033
PharmaPlus	10,500	$32.00	06/30/2032
FitZone Fitness	9,000	$15.00	04/30/2028
ValueMart	6,000	$24.00	12/31/2031
Family Dental Care	3,500	$30.00	12/31/2028

The appraisal recognizes ordinary inline rollover but views the anchor's stated 2033 expiration as providing meaningful stability. It does not model an anchor termination prior to 2033 because no such provision was included in the materials reviewed.

5. Historical Operations

Line Item	2023	2024	Stabilized
Base rent	$2,290,000	$2,265,000	$2,340,000
Reimbursements	$715,000	$692,000	$720,000
Other income	$95,000	$92,000	$90,000
Gross income	$3,100,000	$3,049,000	$3,150,000
Vacancy allowance	Embedded	Embedded	($157,500)
Operating expenses	($1,076,000)	($1,134,000)	($1,156,500)
NOI	$2,024,000	$1,915,000	$1,836,000

The stabilized analysis applies market vacancy and normalized expenses rather than capitalizing a single historical year. The appraiser notes modest NOI compression from 2023 to 2024 but considers stabilized occupancy near 95% supportable as of the valuation date.

6. Income Capitalization

Item	Amount
Stabilized Effective Gross Income	$2,992,500
Operating Expenses	($1,156,500)
Stabilized NOI	$1,836,000
Overall Capitalization Rate	9.00%
Indicated Value	$20,400,000

The selected 9.00% capitalization rate reflects the subject's secondary-market location, neighborhood-center format, tenant mix, occupancy and then-known anchor lease profile.

7. Sales Comparison

Comparable	GLA	Occupancy	Price/SF	Cap Rate
Grocery Center A	112,000	96%	$225	8.5%
Neighborhood Center B	84,000	93%	$198	9.2%
Retail Center C	105,000	91%	$187	9.5%
Grocery Center D	92,000	97%	$218	8.7%

The sales comparison approach supports a value range broadly consistent with the income approach. Greater weight is placed on income capitalization because purchasers focus on sustainable cash flow and rollover risk.

8. Reconciliation

Approach	Indicated Value	Weight
Income Capitalization	$20,400,000	Primary
Sales Comparison	$20.1MM-$20.8MM	Secondary
Cost Approach	Not developed	Not relied upon

After considering the available evidence, the appraiser concludes an as-is leased-fee market value of $20,400,000 as of March 31, 2025.

9. Certification and Limiting Conditions

The opinion is subject to the information and assumptions described herein. The appraiser is not a legal expert and does not opine on enforceability of lease provisions. Information supplied by ownership is assumed materially accurate unless otherwise noted. No undisclosed environmental or structural condition is assumed to impair value.

FINAL AS-IS MARKET VALUE: $20,400,000

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